complication of currency exchange value. This complex system leads to the high cost of transfers and needs to change.

One possible way is to take the concept and technology of UPI to other countries. A beginning can be made with the Middle East by, say, NPCI integrating Indian bank accounts with the bank accounts of countries in the region. It could be a partial integration, with only those banks interested in payment and transfer. Once this integration takes place, you just need to use a reference exchange rate, which can be mutually agreed upon by the central banks or a reference rate agency like Financial Benchmark India Pvt. Ltd (FBIL). This will almost eliminate the cost of international transfers and payments.

There can also be a global currency; for example, making electronic SDRs, a global reserve currency created by IMF, into a global currency or creating official stable-coins or even integrating private stable-coins into the global payment system with sovereign digital currency made convertible into such global currency or stable-coins.

Managing Foreign Currency Reserves

As foreign exchange assets are kept in liquid investments with the Bank of International Settlements (BIS), the central banks of hard currency countries or invested in liquid treasury bonds, etc., the returns on foreign exchange assets kept as reserves in liquid form are very poor.

Most foreign exchange reserves accumulated by RBI have originated as ECBs, foreign investment (FDI and FPI) or deposits made by NRIs. These are all high-cost inflows received by India. The fact that the country pays over $30 billion as interest or other returns on foreign currency investments and deposits stock we currently hold must always be kept in mind.

If the same funds are invested at a fraction of the cost paid as foreign currency reserves, India pays a huge cost. There is, therefore, an indisputable need to determine the amount of foreign currency assets we